I. On Creditors and Debtors

Inflation redistributes wealth from creditors to debtors i.e. lenders suffer and borrowers benefit out of inflation. The opposite effect takes place when inflation falls (i.e. deflation).

II. On lending

With the rise in inflation, lending institutions feel the pressure of higher lending. Institutions don't revise the nominal rate of interest as the 'real cost of borrowing' (i.e. nominal rate of interest minus inflation) falls by the same percentage with which inflation rises.

III. On Aggregate Demand

Rising inflation indicates rising aggregate demand and indicates comparatively lower supply and higher purchasing capacity among the consumers. Usually, higher inflation suggests the producers to increase their production level as it is generally considered as an indication of higher demand in the economy.

IV. On Investment

Investment in the economy is boosted by the inflation (in the short-run) because of two reasons:

a. Higher inflation indicates higher demand and suggests enterpreneurs to expand their production level, and
b. Higher the inflation, lower the cost of loan (as shown above in no.II)

V. On Saving

Holding money does not remain an intelligent economic decision (because money loses value with every increase in inflation) that is why people visit banks more frequently and try to hold least money with themselves and put maximum with the banks in their saving accounts. This is also known as the ***shoe leather cost***[35] of inflation (as it consumes the precious time of the people visiting the bank frequently tagging their shoe!). It means that